

EXCLUSIVE DISTRIBUTION RIGHTS AGREEMENT

Effective Date: 15 March 2007

THIS EXCLUSIVE DISTRIBUTION RIGHTS AGREEMENT (the "Agreement") is made and entered into on **15 March 2007** (the "Effective Date") by and between:

(1) SEYCHELLE ENVIRONMENTAL PRODUCTS, INC., a corporation incorporated under the laws of the State of California, United States of America, having its principal office at 33012 Calle Perfecto, San Juan Capistrano, California 92675, USA ("SEYCHELLE"); and

(2) AQUAPURE DISTRIBUTION PTE. LTD., a company incorporated under the laws of the Republic of Singapore, having its registered office at 8 Marina Boulevard, #15-01, Singapore 018981 ("DISTRIBUTOR").

SEYCHELLE and DISTRIBUTOR are each a "Party" and together the "Parties."

RECITALS

A. SEYCHELLE is engaged in the manufacture and sale of water filtration products.

B. DISTRIBUTOR wishes to be appointed as the exclusive distributor of SEYCHELLE's water filtration products in Singapore and Malaysia.

C. SEYCHELLE has agreed to appoint DISTRIBUTOR as its exclusive distributor within Singapore and Malaysia on the terms and conditions set out in this Agreement.

NOW, THEREFORE, in consideration of the mutual promises, covenants and obligations contained herein, the Parties agree as follows:

1. DEFINITIONS

1.1 "Products" means the water filtration products manufactured and sold by SEYCHELLE and identified in Exhibit A to this Agreement, as amended from time to time by written agreement between the Parties.

1.2 "Territory" means Singapore and Malaysia, and no other jurisdiction.

1.3 "Initial Term" means the initial period of four (4) years commencing on 1 June 2007 and expiring on 31 May 2011, subject to earlier termination in accordance with this Agreement.

1.4 "Renewal Term" means each successive period of two (2) years for which this Agreement is renewed in accordance with Clause 3.

2. APPOINTMENT AND EXCLUSIVE DISTRIBUTION RIGHTS

2.1 Appointment. SEYCHELLE hereby appoints DISTRIBUTOR, and DISTRIBUTOR hereby accepts appointment, as the exclusive distributor and reseller of the Products within the Territory during the Term.

2.2 Exclusivity. Subject to the terms and conditions of this Agreement, SEYCHELLE shall not, during the Term: (a) appoint or authorise any other distributor, agent, reseller or representative to distribute or sell the Products within the Territory; or (b) sell, supply or otherwise distribute the Products directly to any customer located within the Territory except through DISTRIBUTOR.

2.3 Independent Contractor. DISTRIBUTOR shall act as an independent contractor and shall not be deemed to be an employee, partner, joint venturer or legal representative of SEYCHELLE. DISTRIBUTOR shall have no authority to enter into any contract or incur any obligation on behalf of SEYCHELLE unless expressly authorised in writing.

3. TERM AND RENEWAL

3.1 Initial Term. This Agreement shall commence on 1 June 2007 and shall continue until 31 May 2011, unless terminated earlier in accordance with this Agreement.

3.2 Automatic Renewal. Upon expiry of the Initial Term, this Agreement shall automatically renew for successive two (2) year Renewal Terms, unless either Party gives the other Party written notice of its intention not to renew this Agreement at least ninety (90) days prior to the expiry of the then-current term.

3.3 Renewal Notice. Any notice of non-renewal shall be provided in accordance with Clause 12.

4. TERRITORY

4.1 Territory. The exclusive distribution rights granted to DISTRIBUTOR under this Agreement shall apply solely within Singapore and Malaysia.

4.2 Sales Outside Territory. DISTRIBUTOR shall not knowingly distribute, sell, resell, export or otherwise supply any Products outside the Territory without SEYCHELLE's prior written consent.

5. OBLIGATIONS OF DISTRIBUTOR

5.1 Marketing and Promotion. DISTRIBUTOR shall use commercially reasonable efforts to market, promote and sell the Products throughout the Territory.

5.2 Compliance with Laws. DISTRIBUTOR shall conduct its activities under this Agreement in compliance with all applicable laws and regulations of the Territory.

5.3 Preservation of SEYCHELLE's Reputation. DISTRIBUTOR shall use reasonable efforts to promote and market the Products in a professional manner and shall not knowingly make any false, misleading or unauthorised representation concerning SEYCHELLE or the Products.

5.4 No Unauthorised Modifications. DISTRIBUTOR shall not materially modify, alter, repackage or relabel the Products without SEYCHELLE's prior written consent.

6. MINIMUM PURCHASE REQUIREMENTS

6.1 Minimum Annual Purchase. During the Initial Term, DISTRIBUTOR shall purchase from SEYCHELLE a minimum of **10,000 units of the Products per annum**.

6.2 Failure to Meet Minimum Purchase Requirement. If DISTRIBUTOR fails to meet the minimum annual purchase requirement specified in Clause 6.1, SEYCHELLE may, at its sole option, convert DISTRIBUTOR's exclusive distribution rights under this Agreement to non-exclusive distribution rights.

6.3 Notice. Before exercising its right under Clause 6.2, SEYCHELLE shall provide DISTRIBUTOR with thirty (30) days' written notice of the proposed conversion from exclusive to non-exclusive distribution rights.

7. INTELLECTUAL PROPERTY

7.1 Ownership. All trademarks, trade names, logos, product designs, technical information, copyrights and other intellectual property relating to the Products shall remain the property of SEYCHELLE or its relevant licensors.

7.2 Limited Use. During the Term, SEYCHELLE grants DISTRIBUTOR a limited, non-transferable right to use SEYCHELLE's applicable trademarks and marketing materials solely for the purpose of marketing and selling the Products within the Territory.

7.3 No Transfer of Ownership. Nothing in this Agreement shall be interpreted as transferring any ownership interest in SEYCHELLE's intellectual property to DISTRIBUTOR.

8. CONFIDENTIALITY

8.1 Confidential Information. Each Party may receive confidential or proprietary information belonging to the other Party in connection with this Agreement.

8.2 Confidentiality Obligation. Each Party shall keep such confidential information confidential and shall not disclose it to any third party except: (a) with the prior written consent of the other Party; (b) to its employees, professional advisers or representatives who have a legitimate need to know such information and are subject to appropriate confidentiality obligations; or (c) where disclosure is required by law or by a competent governmental authority.

8.3 Continuing Obligation. The obligations under this Clause shall survive the expiry or termination of this Agreement.

9. REPRESENTATIONS AND WARRANTIES

9.1 Mutual Authority. Each Party represents and warrants that: (a) it is duly incorporated and validly existing under the laws applicable to it; (b) it has the authority and capacity to enter into this Agreement; and (c) the execution and performance of this Agreement has been duly authorised.

9.2 Distributor Authority. DISTRIBUTOR shall not make any warranty, guarantee or representation concerning the Products on behalf of SEYCHELLE unless expressly authorised in writing by SEYCHELLE.

10. TERMINATION

10.1 Termination for Material Breach. Either Party may terminate this Agreement by written notice if the other Party commits a material breach of this Agreement and fails to remedy such breach within thirty (30) days after receiving written notice requiring it to do so.

10.2 Effect of Termination. Upon expiry or termination of this Agreement: (a) DISTRIBUTOR shall cease representing itself as an authorised exclusive distributor of SEYCHELLE; (b) DISTRIBUTOR shall cease using SEYCHELLE's trademarks and other intellectual property except as otherwise agreed in writing; (c) each Party shall return or destroy confidential information belonging to the other Party, subject to applicable legal retention requirements; and (d) termination shall not affect any rights, obligations or liabilities that accrued before the effective date of termination.

11. LIMITATION OF RELATIONSHIP

Nothing in this Agreement shall be construed as creating a partnership, joint venture, employment relationship, agency relationship or fiduciary relationship between the Parties. Neither Party shall have authority to bind the other Party or incur obligations on the other Party's behalf unless expressly authorised in writing.

12. NOTICES

Any notice required or permitted under this Agreement shall be made in writing and delivered to the relevant Party at the address stated below, or at such other address as that Party may subsequently notify in writing.

SEYCHELLE ENVIRONMENTAL PRODUCTS, INC.

33012 Calle Perfecto
San Juan Capistrano, CA 92675
USA

AQUAPURE DISTRIBUTION PTE. LTD.

8 Marina Boulevard, #15-01
Singapore 018981

A notice shall be deemed received upon actual delivery or, where sent by registered post, in accordance with the applicable postal delivery rules.

13. GOVERNING LAW AND JURISDICTION

13.1 Governing Law. This Agreement shall be governed by and construed in accordance with the laws of Singapore.

13.2 Jurisdiction. The Parties submit to the jurisdiction of the courts of Singapore in respect of any dispute arising out of or in connection with this Agreement.

14. GENERAL PROVISIONS

14.1 Entire Agreement. This Agreement, together with Exhibit A, constitutes the entire agreement between the Parties concerning the subject matter hereof and supersedes all prior discussions, negotiations, representations and agreements relating to such subject matter.

14.2 Amendments. No amendment, modification or variation of this Agreement shall be effective unless made in writing and signed by authorised representatives of both Parties.

14.3 Assignment. Neither Party may assign or transfer its rights or obligations under this Agreement to any third party without the prior written consent of the other Party, except where such assignment is permitted by applicable law and agreed in writing.

14.4 Severability. If any provision of this Agreement is held to be invalid, illegal or unenforceable, that provision shall, to the extent necessary, be severed and the remaining provisions shall continue in full force and effect.

14.5 Waiver. No failure or delay by either Party in exercising any right under this Agreement shall constitute a waiver of that right.

14.6 Counterparts. This Agreement may be executed in counterparts, each of which shall constitute an original and all of which together shall constitute one and the same instrument.

14.7 Further Assurance. Each Party shall execute such further documents and take such further actions as may reasonably be required to give effect to this Agreement.

15. EXECUTION

IN WITNESS WHEREOF, the Parties have caused this Agreement to be executed by their duly authorised representatives as of the Effective Date stated above.

**FOR AND ON BEHALF OF
SEYCHELLE ENVIRONMENTAL PRODUCTS, INC.**

Signature: _____

Name: _____

Title: _____

Date: _____

**FOR AND ON BEHALF OF
AQUAPURE DISTRIBUTION PTE. LTD.**

Signature: _____

Name: _____

Title: _____

Date: _____

EXHIBIT A

PRODUCTS

The Products covered by this Agreement shall comprise the following water filtration products manufactured and sold by SEYCHELLE:

No.	Product Description	Product Code
1.	_____	_____
2.	_____	_____
3.	_____	_____
4.	_____	_____

Any additions or amendments to the Products covered by this Agreement shall be made by written agreement between the Parties.